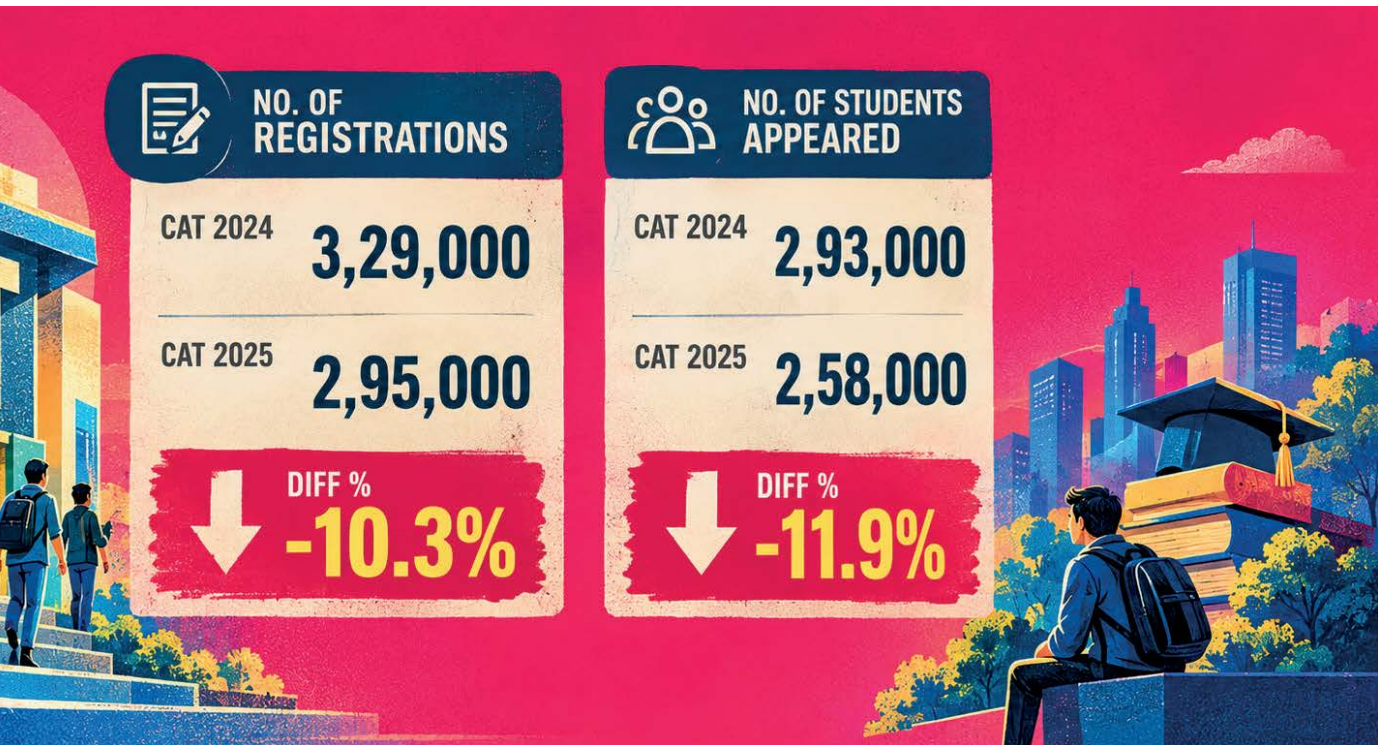


SOURCE CAT WEBSITE

Another element is added by IIM-Ahmedabad Director Bharat Bhasker. While noting that there has been a drop in the number of students sitting for the MBA entrance tests, Bhasker says a lot of that has to do with an overall shift from management to the technology space.

About three years ago, he says, a lot of talk in the US was about how relevant an MBA is. "Technology, especially AI-led, has created more room and growth for those who understand it. A lot of students who once rushed to B-schools now pursue careers in the technology domain," Bhasker says.

JUSTIFYING THE DEGREE

In the US, a student first gets a four-year undergraduate degree, followed by at least two years of work, before getting into a B-school. Now, universities are offering a fifth year after four years in a specialised field—which could be fintech, supply chain, AI or data analytics—at an incremental fee.

Given it's possible to obtain an undergraduate degree from a good university at around $40,000 a year (something that parents pay), there is very good reason to spend that if it comes with a handy specialisation. More importantly, it reduces (and even eliminates) the need for an MBA.

By all counts, that may be a while away in India, given the demand for talent remains unabated across industries, but voices are already beginning to lean in that direction.

"A student needs to see a clear rationale for an MBA from an RoI perspective," says Varun Nagaraj, Dean, S.P. Jain Institute of Management & Research.

As for industry, what it expects from an MBA is already different. Anant Goenka, Vice-Chairman of RPG Enterprises, recalls how businesses five years ago were largely hiring MBAs for functional competence in finance, marketing or operations, the ability to build a business case and the finesse to present all this well. That has changed.

"Today, our focus is on identifying whether the candidate possesses adaptability: can this person take decisions in a constantly volatile environment? Or how well can he or she integrate relevant digital tools and collaborate with a multi-generational team?" he says.

Diversification and digitalisation are among the primary drivers behind this shift.